

Commercial Loan Agreement

1. LOAN AMOUNT. Lender agrees to loan Borrower the principal sum of \$150,000.00 (the "Loan"), subject to the terms of this Agreement.
2. INTEREST RATE. The Loan shall bear interest at a fixed annual rate of 6.75%, calculated on the outstanding principal balance.
3. REPAYMENT SCHEDULE. Borrower shall repay the Loan in 60 equal monthly installments of \$2,946.31, beginning 30 days after the Effective Date.
4. PREPAYMENT. Borrower may prepay all or part of the outstanding principal at any time without penalty.
5. LATE PAYMENT. Any payment not received within 10 days of its due date shall incur a late fee of 5% of the overdue amount.
6. DEFAULT. Borrower shall be in default if any payment is more than 30 days past due, or upon breach of any other material term of this Agreement. Upon default, Lender may declare the entire unpaid balance immediately due.
7. COLLATERAL. This Loan is secured by the commercial equipment described in Exhibit A, in which Borrower grants Lender a security interest.
8. REPRESENTATIONS. Borrower represents that it has full authority to enter into this Agreement and that the Loan proceeds will be used solely for business operating purposes.
9. GOVERNING LAW. This Agreement shall be governed by the laws of the State of Delaware.